# CITY OF ALBANY MEASURE S

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|---|---|
| To support City of Albany general services, with funding that cannot be taken by Sacramento, including: street and park maintenance, recreation, public safety, and environmental programs, shall a measure adjusting the City's real property transfer tax rate from $15.00 to between $10.00 and $30.00 per $1,000 purchased, depending upon the property's purchase price, providing an additional $1,000,000 annually, until ended by voters, with all funds remaining local be adopted? | **YES** |
| | **NO** |

## CITY ATTORNEY'S IMPARTIAL ANALYSIS OF MEASURE S

### ADJUSTING THE CITY'S REAL PROPERTY TRANSFER TAX RATE

Pursuant to City Measure "CC", approved by Albany voters in 2020, the City currently imposes a real property transfer tax at an across-the-board rate of 1.5% of the purchase price/value of the real property interest transferred. The real property transfer tax is a general tax. Revenues are deposited into the General Fund and may be spent for any City expense like street and park maintenance, recreation, public safety, and environmental programs.

Measure "S" was placed on the ballot by the Albany City Council on July 20, 2026 and, if approved by a majority of Albany voters (50%+1), will adjust the real property transfer tax from an across-the-board 1.5% rate to the following five-tiered rate structure, depending upon the purchase price/value transferred:

- 1.0% of the purchase price/value transferred, where the purchase price/value transferred is below the 25th percentile of transactions during the 12 months preceding September 1 of the preceding year, as recorded by the Alameda County Assessor, rounded to the nearest $100,000 increment;
- 1.5% of the purchase price/value transferred, where it is at the 25th percentile but below the 50th percentile of transactions during the same 12 months, rounded to the nearest $100,000 increment;
- 2.0% of the purchase price/value transferred, where it is at the 50th percentile but below the 75th percentile of transactions during the same 12 months, rounded to the nearest $100,000 increment;
- 2.5% of the purchase price/value transferred, where it is at the 75th percentile but below the 90th percentile of transactions during the same 12 months, rounded to the nearest $100,000 increment;
- 3.0% of the purchase price/value transferred, where it is at or above the 90th percentile of transactions during the same 12 months, rounded to the nearest $100,000 increment.

This rate adjustment is estimated to generate an additional $1,000,000 annually. The new rates would become effective on January 1, 2027 and remain in effect until repealed by voters at a subsequent election. The purposes for this tax would not change. The tax would remain a general tax which may fund any valid City purpose, like those identified above.

Measure "S" does not change the current administration of the tax. The real property transfer tax generally applies to transactions involving the sale and purchase of real property. Certain transactions are exempted from the tax. For example, no tax is assessed where a new deed is recorded to correct an existing deed or when the purpose of the transfer is to divide community property.

A "yes" vote on Measure "S" will approve the real property transfer tax rate adjustment.

A "no" vote on Measure "S" will not approve the real property transfer tax rate adjustment.

**The above statement is an impartial analysis of Measure "S". If you desire a copy of the Measure, please call the Office of the City Clerk at (510) 528-5710 and a copy will be mailed at no cost to you.**

s/MALATHY SUBRAMANIAN
City Attorney

## ARGUMENT IN FAVOR OF MEASURE S

**Measure S protects the City's services we rely upon while making our tax system fairer.**

Albany's high quality of life, and property values, exist in part because we invest in excellent services. For instance, while some smaller cities in Alameda County contract the County for fire, medical and police response, we choose to have our own departments because we want these services to be more responsive and community-based.

Measure S ensures we continue funding these services by adjusting the transfer tax when properties sell. This approach recognizes that a significant portion of a property's value comes from the services the City provides.

Measure S also makes Albany more equitable. Currently all properties are taxed at the same rate upon sale. Measure S cuts the rate for properties in the lowest quarter by value while raising it for properties that sell for more than the median. It raises the rate the most for properties in the upper tenth.

Your City Councilmembers unanimously ask you to **Vote Yes on Measure S.**

s/PEGGY MCQUAID
Mayor
s/JENNIFER HANSEN-ROMERO
Vice Mayor
s/ROBIN LÓPEZ
Councilmember
s/JOHN MIKI
Councilmember
s/PRESTON JORDAN
Councilmember

## REBUTTAL TO ARGUMENT IN FAVOR OF MEASURE S

**Measure S does not protect essential services. It gives City Hall a blank check while increasing pressure on housing and local businesses.**

The City Attorney's impartial analysis states that Measure S revenue will go into the General Fund and **"may be spent for any City expense."**

**Measure S does NOT:**

- Guarantee funding for police, fire or emergency services
- Restrict spending on salaries, pensions or project overruns
- Require independent financial oversight
- Protect residents and businesses from rising costs

Measure S's escalating rates will **exponentially increase transfer taxes on apartment buildings, mixed-use properties and commercial real estate.** Those costs do not disappear. They increase the cost of owning and operating buildings, placing additional pressure on residential and commercial tenants through higher rents and reduced investment in properties.

Albany's business corridors are already under pressure. This election, local businesses face both:

- A new business license tax measure
- Measure S's sharply higher taxes on commercial property sales

**Burdening commercial buildings from both directions threatens the small businesses that make Albany's neighborhoods vibrant.**

Meanwhile, the City recently disbanded its Financial Advisory Committee, removing independent oversight just as it asks voters to approve five separate tax measures.

Neighboring cities have shown where this approach can lead: **higher taxes, unstable budgets and repeated demands for more revenue.** Albany should not follow their failed fiscal policies.

**Fairness requires transparency, accountability and responsible budgeting—not vague promises attached to an unrestricted tax that increases housing and business costs.**

**Vote NO on Measure S.**

s/FRANCESCO PAPALIA
Former Member, City of Albany Financial Advisory Committee

## ARGUMENT AGAINST MEASURE S

**Albany has a housing affordability problem. Measure S makes it worse.**

Let's be real. Measure S increases the cost of buying and selling property, making Albany even less affordable.

**Measure S does *NOT:***

- Help first-time homebuyers
- Make Albany more affordable
- Help older homeowners remain financially secure
- Guarantee funding for any specific public service

**Measure S *does:***

- Increase the transfer tax by **33% on a median-priced single-family home**
- Impose the **highest tax of its kind in California on homes in this price category**
- Add thousands of dollars to the cost of buying or selling a home
- Take money from the equity homeowners spent decades building
- **Hit multifamily and mixed-use buildings exponentially harder.** Because these properties have higher sales prices, they face dramatically larger tax bills. Those added costs increase the cost of providing housing and commercial space, creating pressure for higher rents on both residential and small-business tenants.
- **Make it harder for the next generation to live in Albany.** Families want their children and loved ones to remain nearby, but increasing transaction costs puts Albany further out of reach.
- **Treat home equity like a blank check for City Hall.** Older homeowners may need that equity for medical care, assisted living, accessibility improvements, or other critical needs.
- **Rely on an unpredictable revenue source.** Home sales rise and fall with interest rates, housing prices, and the economy. Funding ongoing City needs with volatile revenue could leave Albany in a precarious financial position when the market slows.
- **Continue indefinitely.** Measure S has no sunset date.
- **Provide no guarantee of how the money will be spent.** It is a general tax that can fund any legally permitted City expense.

**Albany needs responsible budgeting—not a volatile tax that makes housing less affordable.**

**Vote NO on Measure S.**

s/FRANCESCO PAPALIA
Former Member, City of Albany Financial Advisory Committee

## REBUTTAL TO ARGUMENT AGAINST MEASURE S

**Measure S reduces or maintains the property transfer tax rate for less expensive homes, making Albany more accessible to first-time buyers.**

Why does Albany need Measure S and so many other taxes? In 1978, California voters passed Proposition 13, rolling back and limiting annual local taxes on property value to 1%, cutting revenue in half overnight. Proposition 13 also limited the increase in property value for tax purposes to 2% a year. Bay Area inflation has averaged almost twice that since then as well as in the last decade. Further, a subsequent proposition allowed parents to pass a residence to their children without it being reassessed to market value. An actual example is an Albany house with a current market value of $2 million that is taxed as if it is worth only $87,528.

As a result, without your periodic approval of tax adjustments, the City would fall financially behind, necessitating cutting services and events and eventually contracting out or cutting public safety.

Albany runs efficiently. Its budgeted spending this year is $36 million. Piedmont's budget is the same but for half the population. Emeryville's budget is three eighths larger ($63 million)for a bit over half Albany's population. El Cerrito's budget is larger by more than half ($58 million) even though its population is only a quarter larger than Albany's.

Measure S is a reasonable approach to compensate for a small part of the effects of Proposition 13 while also making Albany's property transfer tax fairer.

**Vote Yes on Measure S to maintain Albany's services.**

s/PEGGY MCQUAID
Mayor
s/JENNIFER HANSEN-ROMERO
Vice Mayor
s/ROBIN LÓPEZ
Councilmember
s/JOHN MIKI
Councilmember
s/PRESTON JORDAN
Councilmember

## FULL TEXT OF MEASURE S

### ORDINANCE NO. 2026-05

### AN ORDINANCE AMENDING SUBSECTION 4-5.2 OF SECTION 4-5 OF CHAPTER 4 OF THE CITY OF ALBANY MUNICIPAL CODE TO ADJUST THE RATE OF THE GENERAL REAL PROPERTY TRANSFER TAX FROM 1.5% TO BETWEEN 1.0% AND 3.0% OF THE REAL ESTATE VALUE TRANSFERRED, DEPENDING UPON THE REAL ESTATE PURCHASE PRICE/ VALUE TRANSFERRED

**NOW THEREFORE, THE PEOPLE OF THE CITY OF ALBANY DO ORDAIN AS FOLLOWS:**

**SECTION 1: AUTHORITY.**

This Ordinance is enacted in accordance with the authority granted to cities by Article XI, Section 7, and Article XIIIC, Section 2 of the California Constitution and the California Elections Code.

**SECTION 2: AMENDMENT TO SUBSECTION 4-5.2 OF THE MUNICIPAL CODE.**

Chapter 4, Section 4-5, Subsection 4-5.2 of the City of Albany Municipal Code is hereby amended to read:

**"4-5.2 Imposition of Tax -- Except as Otherwise Exempted.**

a. There is hereby imposed a real property transfer tax levied at the following rates ~~of one hundred fifty hundredths (150/100) of one (1%) percent of the value of consideration~~, effective January 1, 202~~7~~1 ~~on the following~~:

1. For properties where the value of consideration is in the first tier, the rate shall be one percent (1.0%) of the value of consideration. For purposes of this Section, the first tier shall be where the value of consideration for the transaction is below the 25th percentile of transactions during the 12 months preceding September 1 of the preceding year, as recorded by the Alameda County Assessor, rounded to the nearest $100,000 increment.

2. For properties where the value of consideration is in the second tier, the rate shall be one and one-half percent (1.5%) of the value of consideration. For purposes of this Section, the second tier shall be where the value of consideration for the transaction is at the 25th percentile but below the 50th percentile of transactions during the 12 months preceding September 1 of the preceding year, as recorded by the Alameda County Assessor, rounded to the nearest $100,000 increment.

3. For properties where the value of consideration is in the third tier, the rate shall be two percent (2.0%) of the value of consideration. For purposes of this Section, the third tier shall be where the value of consideration for the transaction is at the 50th percentile but below the 75th percentile of transactions during the 12 months preceding September 1 of the preceding year, as recorded by the Alameda County Assessor, rounded to the nearest $100,000 increment.

4. For properties where the value of consideration is in the fourth tier, the rate shall be two and one-half percent (2.5%) of the value of consideration. For purposes of this Section, the fourth tier shall be where the value of consideration for the transaction is at the 75th percentile but below the 90th percentile of transactions during the 12 months preceding September 1 of the preceding year, as recorded by the Alameda County Assessor, rounded to the nearest $100,000 increment.

5. For properties where the value of consideration is in the fifth tier, the rate shall be three percent (3.0%) of the value of consideration. For purposes of this Section, the fifth tier shall be where the value of consideration for the transaction is at or above the 90th percentile of transactions during the 12 months preceding September 1 of the preceding year, as recorded by the Alameda County Assessor, rounded to the nearest $100,000 increment.

b. The real property transfer tax shall be levied on the following:

~~a.~~ 1. All transfers by deeds, instruments, writings, or any other document by which any lands, tenements, or other interest in real property are sold, assigned, conveyed, transferred, exchanged or title otherwise changed within the City of Albany; or

~~b.~~ 2. Any transaction or change in title whereby the form of title to real property is granted, assigned, changed, transferred or otherwise conveyed to or vested in a person(s), purchaser(s), or transferee(s) in a different percentage of ownership on title that had been set forth on the prior deed or document evidencing title.

~~c.~~ 3. Any transaction or transfer of greater than five (5%) percent interest, ownership, or control of stock or shares in a corporation, interest in partnerships, or interest in other legal entities that is transferred or conveyed through the purchase or transfer of corporate stock, partnerships interest, shares or interest in limited liability companies, or ownership interest in other legal entities. Such purchase or transfer of such stock, shares, or other interest shall be considered and shall constitute, for the purposes of imposing a tax, a change of ownership of property owned by the corporation, limited liability company, partnership or other legal entity."

**SECTION 3: INCREASE TO APPROPRIATIONS LIMIT.**

Pursuant to California Constitution Article XIIIB, the appropriations limit for the City of Albany is hereby increased by the aggregate sum authorized to be levied by this general tax for fiscal year 2026/2027 and each year thereafter.

**SECTION 4: CALIFORNIA ENVIRONMENTAL QUALITY ACT.**

The findings for this Ordinance in compliance with the California Environmental Quality Act ("CEQA") are the same as those set forth in City Council Resolution No. 2026-64 calling for an election on this Ordinance. The CEQA findings set forth in Resolution No. 2026-64 are incorporated herein by reference.

**SECTION 5: SEVERABILITY.**

If any provision of this Ordinance or the application thereof to any person or circumstance is held invalid, the remainder of the Ordinance and the application of such provision to other persons or circumstances shall not be affected thereby.

**SECTION 6: EFFECTIVE DATE.**

Pursuant to California Constitution Article XIIIC §(2)(b) and California Elections Code §9217, this Ordinance shall take effect only if approved by a majority of the eligible voters of the City of Albany voting at the General Municipal Election to be held on November 3, 2026 and shall become effective 10 days after the City Council has declared the results of the Election.

Ordinance No. 2026-05 was submitted to the People of the City of Albany at the November 3, 2026 General Municipal Election. It was approved by the following vote of the People:

YES:

NO:

Ordinance No. 2026-05 was thereby adopted by the voters at the November 3, 2026 election and shall become effective ten (10) days following adoption of a resolution declaring the results of the election at a meeting of the City Council held on December ___, 2026 by the following vote:

AYES:

NOES:

ABSENT:

ABSTAIN:

I HEREBY CERTIFY that the foregoing is a true and correct copy of an ordinance duly and regularly adopted by the People of the City of Albany, California.

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ANNE HSU, City Clerk